

dynamics, infrastructure, and investor sentiment,” he adds.

The trend is similar, if not more pronounced, in another part of the NCR—the Noida-Greater Noida circuit. According to Amit Modi, Director of Country Group and Governing Council Member of industry body CREDAI’s western UP chapter, post-Covid-19, consumers have realised the necessity of owning their homes. “Those who already had a home have felt the need for bigger homes with better facilities, work-from-home features, and one-of-its-kind amenities that improve their lifestyles,” he says.

But Sanjay Dutt, MD and CEO of Tata Realty & Infrastructure, which owns Tata Housing Development Company, says the market has moved beyond the after-effects of the pandemic. “Factors like the continued surge in job opportunities and the emergence of new pockets of growth in the Noida-Greater Noida region due to the infrastructure development in the area, are driving the market,” he says.

56 | Santosh Agarwal, Executive Director and CFO of Alpha Corp Development, concurs. He says, the infra push in the region extends to the creation of industrial parks, and technology centres that attract multinational corporations and start-ups. “This has created a robust job market and increased the demand for residential properties near these hubs.”

THE NOIDA FACTOR

While developers are optimistic about demand in the region, there’s a problem that’s been brewing

for long. Data from Knight Frank shows, Noida and Greater Noida’s share in the NCR’s total sales has been falling sequentially since H2 2019. From 71 per cent in H2 2019, its share had declined to 42 per cent in H1 2022, before shrinking further to 32 per cent in H1 2023. The non-availability of ready-to-move-in inventory in the key micro-markets of Noida and Greater Noida, coupled with a dearth of new launches, are the key reasons being cited. The lack of new residential inventory from credible developers has created a vacuum of preferred projects for homebuyers, which has adversely impacted sales. Sample this: Noida and Greater Noida’s cumulative share in NCR’s new launches halved in H1 2023 from 26 per cent in H1 2022.

As a result, the market that used to have one of the largest inventories of unsold units in the country is now recording the steepest fall. Research from Anarock Property Consultants shows that unsold inventory in the Delhi-NCR market fell 21 per cent, from 141,250 units in 2022-end, to 110,990 units by the end of June 2023. This, coupled with the rising demand for homes, has resulted in a significant jump in prices in recent years. Per data from online property listing portal 99acres.com, average prices in Gurugram and Noida have surged over 20 per cent between 2018 and early 2023, while for Greater Noida the rise has been 17.6 per cent. Signature’s Aggarwal says the massive gap in supply and demand—to the tune of a ratio of 1:3 in the middle-income and affordable segments—is driving prices upwards.



“The surge in job opportunities and the emergence of new pockets of growth in the Noida-Greater Noida region ... are driving the market”

SANJAY DUTT
MD & CEO, TATA REALTY & INFRASTRUCTURE



“The Delhi-NCR real estate sector is revitalised, witnessing triple-digit growth in new property supply. This surge is... providing choices for first-time buyers”

PRADEEP AGGARWAL
FOUNDER & CHAIRMAN, SIGNATURE GLOBAL